Item 8. Financial Statements and Supplementary Data

All financial statement schedules have been omitted, since the required information is not applicable or is not present in amounts sufficient to require submission of the schedule, or because the information required is included in the consolidated financial statements and accompanying notes.

Apple Inc.

CONSOLIDATED STATEMENTS OF OPERATIONS

(In millions, except number of shares, which are reflected in thousands, and per-share amounts)

	Years ended		
	September 27, 2025	September 28, 2024	September 30, 2023
Net sales:			
Products	$ 307,003	$ 294,866	$ 298,085
Services	109,158	96,169	85,200
Total net sales	416,161	391,035	383,285
Cost of sales:			
Products	194,116	185,233	189,282
Services	26,844	25,119	24,855
Total cost of sales	220,960	210,352	214,137
Gross margin	195,201	180,683	169,148
Operating expenses:			
Research and development	34,550	31,370	29,915
Selling, general and administrative	27,601	26,097	24,932
Total operating expenses	62,151	57,467	54,847
Operating income	133,050	123,216	114,301
Other income/(expense), net	(321)	269	(565)
Income before provision for income taxes	132,729	123,485	113,736
Provision for income taxes	20,719	29,749	16,741
Net income	$ 112,010	$ 93,736	$ 96,995
Earnings per share:			
Basic	$ 7.49	$ 6.11	$ 6.16
Diluted	$ 7.46	$ 6.08	$ 6.13
Shares used in computing earnings per share:			
Basic	14,948,500	15,343,783	15,744,231
Diluted	15,004,697	15,408,095	15,812,547

See accompanying Notes to Consolidated Financial Statements.

Apple Inc.

CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME
(In millions)

	Years ended		
	September 27, 2025	September 28, 2024	September 30, 2023
Net income	$ 112,010	$ 93,736	$ 96,995
Other comprehensive income/(loss):			
Change in foreign currency translation, net of tax	(267)	395	(765)
Change in unrealized gains/losses on derivative instruments, net of tax:			
Change in fair value of derivative instruments	849	(832)	323
Adjustment for net (gains)/losses realized and included in net income	(212)	(1,337)	(1,717)
Total change in unrealized gains/losses on derivative instruments	637	(2,169)	(1,394)
Change in unrealized gains/losses on marketable debt securities, net of tax:			
Change in fair value of marketable debt securities	817	5,850	1,563
Adjustment for net (gains)/losses realized and included in net income	414	204	253
Total change in unrealized gains/losses on marketable debt securities	1,231	6,054	1,816
Total other comprehensive income/(loss)	1,601	4,280	(343)
Total comprehensive income	$ 113,611	$ 98,016	$ 96,652

See accompanying Notes to Consolidated Financial Statements.

Apple Inc.

CONSOLIDATED BALANCE SHEETS
(In millions, except number of shares, which are reflected in thousands, and par value)

	September 27, 2025	September 28, 2024
ASSETS:		
Current assets:		
Cash and cash equivalents	$ 35,934	$ 29,943
Marketable securities	18,763	35,228
Accounts receivable, net	39,777	33,410
Vendor non-trade receivables	33,180	32,833
Inventories	5,718	7,286
Other current assets	14,585	14,287
Total current assets	147,957	152,987
Non-current assets:		
Marketable securities	77,723	91,479
Property, plant and equipment, net	49,834	45,680
Other non-current assets	83,727	74,834
Total non-current assets	211,284	211,993
Total assets	$ 359,241	$ 364,980
LIABILITIES AND SHAREHOLDERS' EQUITY:		
Current liabilities:		
Accounts payable	$ 69,860	$ 68,960
Other current liabilities	66,387	78,304
Deferred revenue	9,055	8,249
Commercial paper	7,979	9,967
Term debt	12,350	10,912
Total current liabilities	165,631	176,392
Non-current liabilities:		
Term debt	78,328	85,750
Other non-current liabilities	41,549	45,888
Total non-current liabilities	119,877	131,638
Total liabilities	285,508	308,030
Commitments and contingencies		
Shareholders' equity:		
Common stock and additional paid-in capital, $0.00001 par value: 50,400,000 shares authorized; 14,773,260 and 15,116,786 shares issued and outstanding, respectively	93,568	83,276
Accumulated deficit	(14,264)	(19,154)
Accumulated other comprehensive loss	(5,571)	(7,172)
Total shareholders' equity	73,733	56,950
Total liabilities and shareholders' equity	$ 359,241	$ 364,980

See accompanying Notes to Consolidated Financial Statements.

Apple Inc.

CONSOLIDATED STATEMENTS OF SHAREHOLDERS' EQUITY
(In millions, except per-share amounts)

	Years ended		
	September 27, 2025	September 28, 2024	September 30, 2023
Total shareholders' equity, beginning balances	$ 56,950	$ 62,146	$ 50,672
Common stock and additional paid-in capital:			
Beginning balances	83,276	73,812	64,849
Common stock issued	1,498	1,423	1,346
Common stock withheld related to net share settlement of equity awards	(4,452)	(3,993)	(3,521)
Share-based compensation	13,246	12,034	11,138
Ending balances	93,568	83,276	73,812
Accumulated deficit:			
Beginning balances	(19,154)	(214)	(3,068)
Net income	112,010	93,736	96,995
Dividends and dividend equivalents declared	(15,413)	(15,218)	(14,996)
Common stock withheld related to net share settlement of equity awards	(1,655)	(1,612)	(2,099)
Common stock repurchased	(90,052)	(95,846)	(77,046)
Ending balances	(14,264)	(19,154)	(214)
Accumulated other comprehensive loss:			
Beginning balances	(7,172)	(11,452)	(11,109)
Other comprehensive income/(loss)	1,601	4,280	(343)
Ending balances	(5,571)	(7,172)	(11,452)
Total shareholders' equity, ending balances	$ 73,733	$ 56,950	$ 62,146
Dividends and dividend equivalents declared per share or RSU	$ 1.02	$ 0.98	$ 0.94

See accompanying Notes to Consolidated Financial Statements.

Apple Inc.

CONSOLIDATED STATEMENTS OF CASH FLOWS
(In millions)

	Years ended		
	September 27, 2025	September 28, 2024	September 30, 2023
Cash, cash equivalents, and restricted cash and cash equivalents, beginning balances	$ 29,943	$ 30,737	$ 24,977
Operating activities:			
Net income	112,010	93,736	96,995
Adjustments to reconcile net income to cash generated by operating activities:			
Depreciation and amortization	11,698	11,445	11,519
Share-based compensation expense	12,863	11,688	10,833
Other	(89)	(2,266)	(2,227)
Changes in operating assets and liabilities:			
Accounts receivable, net	(6,682)	(3,788)	(1,688)
Vendor non-trade receivables	(347)	(1,356)	1,271
Inventories	1,400	(1,046)	(1,618)
Other current and non-current assets	(9,197)	(11,731)	(5,684)
Accounts payable	902	6,020	(1,889)
Other current and non-current liabilities	(11,076)	15,552	3,031
Cash generated by operating activities	111,482	118,254	110,543
Investing activities:			
Purchases of marketable securities	(24,407)	(48,656)	(29,513)
Proceeds from maturities of marketable securities	40,907	51,211	39,686
Proceeds from sales of marketable securities	12,890	11,135	5,828
Payments for acquisition of property, plant and equipment	(12,715)	(9,447)	(10,959)
Other	(1,480)	(1,308)	(1,337)
Cash generated by investing activities	15,195	2,935	3,705
Financing activities:			
Payments for taxes related to net share settlement of equity awards	(5,960)	(5,441)	(5,431)
Payments for dividends and dividend equivalents	(15,421)	(15,234)	(15,025)
Repurchases of common stock	(90,711)	(94,949)	(77,550)
Proceeds from issuance of term debt, net	4,481	—	5,228
Repayments of term debt	(10,932)	(9,958)	(11,151)
Proceeds from/(Repayments of) commercial paper, net	(2,032)	3,960	(3,978)
Other	(111)	(361)	(581)
Cash used in financing activities	(120,686)	(121,983)	(108,488)
Increase/(Decrease) in cash, cash equivalents, and restricted cash and cash equivalents	5,991	(794)	5,760
Cash, cash equivalents, and restricted cash and cash equivalents, ending balances	$ 35,934	$ 29,943	$ 30,737
Supplemental cash flow disclosure:			
Cash paid for income taxes, net	$ 43,369	$ 26,102	$ 18,679

See accompanying Notes to Consolidated Financial Statements.

Apple Inc.

Notes to Consolidated Financial Statements

Note 1 – Summary of Significant Accounting Policies

Basis of Presentation and Preparation

The consolidated financial statements include the accounts of Apple Inc. and its wholly owned subsidiaries. The preparation of these consolidated financial statements and accompanying notes in conformity with GAAP requires the use of management estimates. Certain prior period amounts in the notes to consolidated financial statements have been reclassified to conform to the current period's presentation.

The Company's fiscal year is the 52- or 53-week period that ends on the last Saturday of September. An additional week is included in the first fiscal quarter every five or six years to realign the Company's fiscal quarters with calendar quarters, which occurred in the first fiscal quarter of 2023. The Company's fiscal years 2025 and 2024 spanned 52 weeks each, whereas fiscal year 2023 spanned 53 weeks. Unless otherwise stated, references to particular years, quarters, months and periods refer to the Company's fiscal years ended in September and the associated quarters, months and periods of those fiscal years.

Recently Adopted Accounting Pronouncements

Segment Reporting

Beginning with the 2025 annual reporting period, the Company adopted the FASB's ASU No. 2023-07, *Segment Reporting (Topic 280): Improvements to Reportable Segment Disclosures* ("ASU 2023-07"), which requires the Company to disclose segment expenses that are significant and regularly provided to the Company's chief operating decision maker ("CODM"). In addition, ASU 2023-07 requires the Company to disclose the title and position of its CODM and how the CODM uses segment profit or loss information in assessing segment performance and deciding how to allocate resources. The Company adopted ASU 2023-07 using a retrospective transition method.

Revenue

The Company records revenue net of taxes collected from customers that are remitted to governmental authorities.

Share-Based Compensation

The Company recognizes share-based compensation expense on a straight-line basis for its estimate of equity awards that will ultimately vest.

Cash Equivalents

All highly liquid investments with maturities of three months or less at the date of purchase are treated as cash equivalents.

Trade Receivables

Trade receivables are stated at transaction price.

Marketable Securities

The cost of securities sold is determined using the specific identification method.

Inventories

Inventories are measured using the first-in, first-out method.

Property, Plant and Equipment

Property, plant and equipment are stated at cost. Depreciation on property, plant and equipment is recognized on a straight-line basis.

Derivative Instruments

The Company presents derivative assets and liabilities at their gross fair values in the Consolidated Balance Sheets.

Income Taxes

The Company records certain deferred tax assets and liabilities in connection with the minimum tax on certain foreign earnings created by the TCJA.

Leases

The Company combines and accounts for lease and nonlease components as a single lease component for leases of corporate and retail facilities.

Note 2 – Revenue

The Company recognizes revenue at the amount to which it expects to be entitled when control of products or services is transferred to its customers. Control is generally transferred when the Company has a present right to payment and title and the significant risks and rewards of ownership of products or services are transferred to its customers. For most of the Company's Products net sales, control transfers when products are shipped. For the Company's Services net sales, control transfers over time as services are delivered. Payment for Products and Services net sales is collected within a short period following transfer of control or commencement of delivery of services, as applicable.

The Company records reductions to Products net sales related to future product returns, price protection and other customer incentive programs based on the Company's expectations and historical experience.

For arrangements with multiple performance obligations, which represent promises within an arrangement that are distinct, the Company allocates revenue to all distinct performance obligations based on their relative stand-alone selling prices ("SSPs"). When available, the Company uses observable prices to determine SSPs. When observable prices are not available, SSPs are established that reflect the Company's best estimates of what the selling prices of the performance obligations would be if they were sold regularly on a stand-alone basis. The Company's process for estimating SSPs without observable prices considers multiple factors that may vary depending upon the unique facts and circumstances related to each performance obligation including, where applicable, prices charged by the Company for similar offerings, market trends in the pricing for similar offerings, product-specific business objectives and the estimated cost to provide the performance obligation.

The Company has identified the performance obligations regularly included in arrangements involving the sale of iPhone, Mac and iPad. The first material performance obligation, which represents the substantial portion of the allocated sales price, is the hardware and bundled software delivered at the time of sale. The second material performance obligation is the right to receive certain product-related bundled services, which include iCloud®, Siri® and Maps. The Company allocates revenue and any related discounts to all of its performance obligations based on their relative SSPs. Because the Company lacks observable prices for product-related bundled services, the allocation of revenue is based on the Company's estimated SSPs. Revenue allocated to the delivered hardware and bundled software is recognized when control has transferred to the customer, which generally occurs when the product is shipped. Revenue allocated to product-related bundled services is deferred and recognized on a straight-line basis over the estimated period they are expected to be provided.

For certain long-term service arrangements, the Company has performance obligations for services it has not yet delivered. For these arrangements, the Company does not have a right to bill for the undelivered services. The Company has determined that any unbilled consideration relates entirely to the value of the undelivered services. Accordingly, the Company has not recognized revenue, and does not disclose amounts, related to these undelivered services.

For the sale of third-party products where the Company obtains control of the product before transferring it to the customer, the Company recognizes revenue based on the gross amount billed to customers. The Company considers multiple factors when determining whether it obtains control of third-party products, including evaluating if it can establish the price of the product, retains inventory risk for tangible products or has the responsibility for ensuring acceptability of the product. For third-party applications sold through the App Store, the Company does not obtain control of the product before transferring it to the customer. Therefore, the Company accounts for all third-party application–related sales on a net basis by recognizing in Services net sales only the commission it retains.

The following table shows disaggregated net sales, as well as the portion of total net sales that was previously deferred, for 2025, 2024 and 2023 (in millions):

	2025	2024	2023
iPhone	$ 209,586	$ 201,183	$ 200,583
Mac	33,708	29,984	29,357
iPad	28,023	26,694	28,300
Wearables, Home and Accessories	35,686	37,005	39,845
Services (1)	109,158	96,169	85,200
Total net sales	$ 416,161	$ 391,035	$ 383,285
Portion of total net sales that was included in deferred revenue as of the beginning of the period	$ 8,229	$ 7,728	$ 8,169

(1) Services net sales include amortization of the deferred value of services bundled in the sales price of certain products.

The Company's proportion of net sales by disaggregated revenue source was generally consistent for each reportable segment in Note 13, "Segment Information and Geographic Data" for 2025, 2024 and 2023, except in Greater China, where iPhone revenue represented a moderately higher proportion of net sales.

As of September 27, 2025 and September 28, 2024, the Company had total deferred revenue of $13.7 billion and $12.8 billion, respectively. As of September 27, 2025, the Company expects 66% of total deferred revenue to be realized in less than a year, 23% within one-to-two years, 9% within two-to-three years and 2% in greater than three years.

Note 3 – Earnings Per Share

The following table shows the computation of basic and diluted earnings per share for 2025, 2024 and 2023 (net income in millions and shares in thousands):

	2025	2024	2023
Numerator:			
Net income	$ 112,010	$ 93,736	$ 96,995
Denominator:			
Weighted-average basic shares outstanding	14,948,500	15,343,783	15,744,231
Effect of dilutive share-based awards	56,197	64,312	68,316
Weighted-average diluted shares	15,004,697	15,408,095	15,812,547
Basic earnings per share	$ 7.49	$ 6.11	$ 6.16
Diluted earnings per share	$ 7.46	$ 6.08	$ 6.13

Approximately 24 million restricted stock units ("RSUs") were excluded from the computation of diluted earnings per share for 2023 because their effect would have been antidilutive.

Note 4 – Financial Instruments

Cash, Cash Equivalents and Marketable Securities

The following tables show the Company's cash, cash equivalents and marketable securities by significant investment category as of September 27, 2025 and September 28, 2024 (in millions):

	2025						
	Adjusted Cost	Unrealized Gains	Unrealized Losses	Fair Value	Cash and Cash Equivalents	Current Marketable Securities	Non-Current Marketable Securities
Cash	$ 28,267	$ —	$ —	$ 28,267	$ 28,267	$ —	$ —
Level 1:							
Money market funds	5,272	—	—	5,272	5,272	—	—
Mutual funds	679	177	(2)	854	—	854	—
Subtotal	5,951	177	(2)	6,126	5,272	854	—
Level 2 (1):							
U.S. Treasury securities	16,074	56	(282)	15,848	1,190	3,712	10,946
U.S. agency securities	5,269	—	(149)	5,120	251	2,456	2,413
Non-U.S. government securities	6,586	111	(424)	6,273	—	855	5,418
Certificates of deposit and time deposits	917	—	—	917	904	—	13
Commercial paper	100	—	—	100	50	50	—
Corporate debt securities	47,210	266	(916)	46,560	—	10,623	35,937
Municipal securities	207	—	(2)	205	—	119	86
Mortgage- and asset-backed securities	24,130	126	(1,252)	23,004	—	94	22,910
Subtotal	100,493	559	(3,025)	98,027	2,395	17,909	77,723
Total	$ 134,711	$ 736	$ (3,027)	$ 132,420	$ 35,934	$ 18,763	$ 77,723

	2024						
	Adjusted Cost	Unrealized Gains	Unrealized Losses	Fair Value	Cash and Cash Equivalents	Current Marketable Securities	Non-Current Marketable Securities
Cash	$ 27,199	$ —	$ —	$ 27,199	$ 27,199	$ —	$ —
Level 1:							
Money market funds	778	—	—	778	778	—	—
Mutual funds	515	105	(3)	617	—	617	—
Subtotal	1,293	105	(3)	1,395	778	617	—
Level 2 (1):							
U.S. Treasury securities	16,150	45	(516)	15,679	212	4,087	11,380
U.S. agency securities	5,431	—	(272)	5,159	155	703	4,301
Non-U.S. government securities	17,959	93	(484)	17,568	1,158	10,810	5,600
Certificates of deposit and time deposits	873	—	—	873	387	478	8
Commercial paper	1,066	—	—	1,066	28	1,038	—
Corporate debt securities	65,622	270	(1,953)	63,939	26	16,027	47,886
Municipal securities	412	—	(7)	405	—	190	215
Mortgage- and asset-backed securities	24,595	175	(1,403)	23,367	—	1,278	22,089
Subtotal	132,108	583	(4,635)	128,056	1,966	34,611	91,479
Total (2)(3)	$ 160,600	$ 688	$ (4,638)	$ 156,650	$ 29,943	$ 35,228	$ 91,479

(1) The valuation techniques used to measure the fair values of the Company's Level 2 financial instruments, which generally have counterparties with high credit ratings, are based on quoted market prices or model-driven valuations using significant inputs derived from or corroborated by observable market data.

(2) As of September 28, 2024, cash and cash equivalents included $2.6 billion held in escrow and restricted from general use. These restricted cash and cash equivalents were designated to settle the Company's obligation related to the State Aid Decision (refer to Note 7, "Income Taxes").

(3) As of September 28, 2024, current marketable securities included $13.2 billion held in escrow and restricted from general use. These restricted marketable securities were designated to settle the Company's obligation related to the State Aid Decision (refer to Note 7, "Income Taxes").